Deutsche Bank
Research

Rating
Hold

North America
United States

Consumer
Consumer Staples

Company
The Coca-Cola Company

Reuters	Bloomberg	Exchange	Ticker
KO.N	KO US	NYS	KO

Date
7 October 2024

Forecast Change

Price at 4 Oct 2024 (USD)	70.17
Price target	69.00
52-week range	73.01 - 52.38

What we're watching for in 3Q24 results

Valuation & Risks

Steve Powers
Research Analyst
+1-212-250-5480

Christopher Barnes, CFA
Research Analyst
+1-212-454-0778

Nikhil Jain, CFA
Research Associate
+1-212-250-3253

Angeline Goh
Research Associate
+1-212-250-4515

Key changes			
EPS (USD)	2.87 to 2.85	↓	-0.6%
Revenue (USDm)	45,967.3 to 45,926.7	↓	-0.1%

Source: Deutsche Bank

KO reports 3Q24 earnings results on Wednesday, October 23rd pre-market

Overall, we believe KO remains in a strong position to reiterate and deliver on its 2024 outlook (+4-5% adjusted EPS growth), even if we moderately lower our 3Q/FY24 estimates to essentially fall in line with consensus expectations. Specifically, our 3Q EPS forecast declines by one cent to $0.75 (in line with Street), as we factor in higher reinvestment support in an increasingly difficult consumer backdrop across the US, Europe/Eurasia, China and Latam—leading to revised organic growth of +6.5% (down from +7.2%; Street: +6.7%) as well as trimmed operating margin expansion of ~+80 bps to 30.5% (down from +30.9%, Street: 30.6%). For the full year, our EPS outlook moderates to $2.85 from $2.87 (now also in line with Street).

Ultimately, while we still see KO/the Coke System well-positioned vs. competition heading into FY25, we also remain cognizant of growing pressure on consumer demand across different parts of the world (especially in immediate consumption/away from home channels), and are monitoring less favorable commodity cost prospects (given notable recent increases in sugar and aluminum prices)—if potentially/partially offset by prospects of a weaker USD. Barring improvement in the macro/demand environment, we expect more pressure on KO's ability (in conjunction with its bottling partners) to leverage RGM/price-pack architecture capabilities, innovation, and productivity to navigate through the current market backdrop. Net, our FY25 EPS outlook also moderates to $3.00 (from $3.02; Street $3.04), while our price target of $69 remains unchanged. Maintain Hold rating.

Alongside results, we also expect some focus on KO's further exploration of the beverage alcohol market (noting a Bacardi rum and Coke cocktail launch in select European markets and Mexico in 2025), along with its continuing efforts to refranchise company-owned bottling assets. This is in addition to any clarifying commentary on the timing of the company's IRS Tax Court case appeal and/or FY24/25 FCF considerations.

Please see Figure 1 for our estimates vs. the Street, embedding the following:

- **Top-line:** As noted above, we now model 3Q organic sales growth of +6.5% (down from +7.2%; Street: +6.7%), which assumes headline concentrate shipments of -1.5% (UCS +0.3%, down from +0.9%) and price/mix of +7.9%. Our all-in revenue estimate falls to $11.588 billion (down from

$11.646 billion; vs. Street: $11.617 billion), due to increasing pressure on consumer demand, partially offset by less adverse FX. By segment, we model headline organic growth of +3.0% in North America (unchanged), +10.0% in EMEA (driven by Eurasia; down from +13.0%), +3.5% in APAC (down from +6.5%), +15.0% in LatAm (down from +16.0%), +6.5% in BIG (unchanged), and +2% in Global Ventures (unchanged).

- **Margins/EPS:** We model gross margin expansion of +150 bps to 62.0% (unchanged; Street: 61.4%), embedding benefits from favorable price/mix, cost savings, and structural benefits from bottling divestitures. However, our operating margin outlook of 30.5% (down from 30.7%; Street: 30.6%) is revised lower on higher marketing support relative to sales. Overall, our EPS estimate falls by 2 cents to $0.75 (in line with consensus).

- **FY24 Guidance:** While we see incremental category-wide demand headwinds (across China, Eurasia, Latam, as well as the US/Europe), KO's fundamental momentum should enable the company to reaffirm FY24 targets broadly (i.e., organic growth of +9%-10% and $2.82-$2.85 in EPS)—partially aided additionally by modestly less adverse FX headwinds. For our part, we model headline organic growth of +9.9% for the year (down from +10.3%; Street: +10.1%), EBIT of $13.863 billion (down from $13.943 billion; Street: $13.896 billion), and EPS of $2.85 (down from $2.87; Street: $2.85).

Figure 1: KO earnings preview snapshot

	3Q24E DB vs. Street					
	DBe	Street	Delta	3Q23A	chg YoY	Guidance/DB commentary
Sales	$11,588	$11,617	-0.2%	$11,911	-2.7%	**DBe:** Org +6.5% (NA +3%, EMEA +10.0%, APAC +3.5%, ' LA +16%,
Gross margin	*62.0%*	*61.4%*	*60 bps*	60.5%	*150 bps*	BIG +6.5%, GV +3.0%)
EBIT	3,530	3,551	-0.6%	3,536	-0.2%	**DBe:** NA 28.4%, EMEA 54.6%, APAC 37.0%, LA 60.1%,
EBIT margin	*30.5%*	*30.6%*	*-10 bps*	*29.7%*	*78 bps*	BIG 7.1%, GV 10.5%)
EPS	**$0.75**	**$0.75**	**0.0%**	**$0.74**	**1.1%**	

	FY24E DB vs. Street					
	DBe	Street	Delta	2023A	chg YoY	Guidance/DB commentary
Sales	$45,927	$46,000	-0.2%	$45,784	0.3%	**Guide:** Org +9%-10%; Implied sales -2% to +1% | **DBe:** Org +9.9%
Gross margin	*61.3%*	*60.9%*	*40 bps*	*59.7%*	*164 bps*	
EBIT	13,863	13,896	-0.2%	13,347	3.9%	**DBe:** NA 27.3%, EMEA 52.4%, APAC 38.9%, LA 58.0%,
EBIT margin	*30.2%*	*30.2%*	*-2 bps*	*29.2%*	*103 bps*	BIG 7.8%, GV 11.3%
PBT	15,227	15,223	0.0%	14,414	5.6%	
Tax rate	*19.0%*	*19.0%*	*1 bps*	*19.0%*	*1 bps*	
EPS	**$2.85**	**$2.85**	**0.0%**	**$2.69**	**6.1%**	**Guide:** Implied EPS $2.82 - $2.85
FCF	$9,247	$9,257	*-0.1%*	$9,747	*-5.1%*	**Guide:** $9.2 billion

Source : Bloomberg Finance LP, Company filings, Deutsche Bank estimates and analysis

Financial Models

Figure 2: KO quarterly income statement

		2023					2024E					2025E					
INCOME STATEMENT	**FY22**	**1Q**	**2Q**	**3Q**	**4Q**	**FY23**	**1Q**	**2Q**	**3QE**	**4QE**	**FY24E**	**1QE**	**2QE**	**3QE**	**4QE**	**FY25E**	**FY26E**
Net Sales	**43,046**	**10,959**	**11,966**	**11,911**	**10,948**	**45,784**	**11,231**	**12,313**	**11,588**	**10,794**	**45,927**	**11,581**	**12,761**	**12,138**	**11,380**	**47,860**	**50,100**
Cost of Goods Sold	17,817	4,282	4,859	4,707	4,617	18,465	4,237	4,749	4,406	4,379	17,771	4,387	4,915	4,596	4,600	18,498	19,223
Gross Profit	25,229	6,677	7,107	7,204	6,331	27,319	6,994	7,564	7,183	6,415	28,156	7,195	7,846	7,541	6,780	29,362	30,876
Gross margin	**58.6%**	**60.9%**	**59.4%**	**60.5%**	**57.8%**	**59.7%**	**62.3%**	**61.4%**	**62.0%**	**59.4%**	**61.3%**	**62.1%**	**61.5%**	**62.1%**	**59.6%**	**61.3%**	**61.6%**
GM chg. in bps	-153 bps	123 bps	39 bps	131 bps	138 bps	106 bps	135 bps	204 bps	150 bps	160 bps	164 bps	-15 bps	5 bps	15 bps	15 bps	4 bps	28 bps
selling and distribution	2,767	654	682	694	569	2,599	621	609	457	459	2,147	558	644	479	472	2,154	2,241
selling & distribution as % of bottl	35.1%	33.6%	33.4%	37.3%	28.3%	33.1%	34.2%	39.6%	38.6%	35.0%	36.7%	34.0%	39.3%	38.3%	34.3%	36.5%	36.1%
s&d % of bottling sales chg	-67 bps	156 bps	45 bps	581 bps	-1533 bps	-200 bps	57 bps	617 bps	125 bps	675 bps	361 bps	-15 bps	-25 bps	-25 bps	-75 bps	-21 bps	-34 bps
advertising	4,319	1,065	1,219	1,526	1,200	5,010	1,161	1,400	1,658	1,259	5,478	1,191	1,387	1,707	1,299	5,584	5,838
advertising as a % of sales	10.0%	9.7%	10.2%	12.8%	11.0%	10.9%	10.3%	11.4%	14.3%	11.7%	11.9%	10.3%	10.9%	14.1%	11.4%	11.7%	11.7%
advertising ratio chg in bps	-57 bps	39 bps	-15 bps	-32 bps	390 bps	91 bps	62 bps	118 bps	150 bps	70 bps	99 bps	-5 bps	-50 bps	-25 bps	-25 bps	-26 bps	-2 bps
stock-based comp	356	58	62	57	77	254	68	72	67	76	283	70	68	70	80	289	302
stock-based comp as a % of sale	0.8%	0.5%	0.5%	0.5%	0.7%	0.6%	0.6%	0.6%	0.6%	0.7%	0.6%	0.6%	0.5%	0.6%	0.7%	0.6%	0.6%
stock-based comp chg in bps	-4 bps	-30 bps	-38 bps	-28 bps	-11 bps	-27 bps	8 bps	7 bps	10 bps	0 bps	6 bps	0 bps	-5 bps	0 bps	0 bps	-1 bps	0 bps
other G&A	5,442	1,412	1,364	1,391	1,942	6,109	1,501	1,446	1,469	1,969	6,385	1,507	1,454	1,460	1,985	6,406	6,493
other G&A as a % of sales	12.6%	12.9%	11.4%	11.7%	17.7%	13.3%	13.4%	11.7%	12.7%	18.2%	13.9%	13.0%	11.4%	12.0%	17.4%	13.4%	13.0%
other G&A ratio chg in bps	-63 bps	103 bps	36 bps	99 bps	40 bps	70 bps	48 bps	34 bps	100 bps	50 bps	56 bps	-35 bps	-35 bps	-65 bps	-80 bps	-52 bps	-42 bps
Adjusted Operating Profit	12,345	3,488	3,780	3,536	2,543	13,347	3,643	4,037	3,530	2,652	13,863	3,868	4,292	3,825	2,945	14,930	16,004
Operating Margin	**28.7%**	**31.8%**	**31.6%**	**29.7%**	**23.2%**	**29.2%**	**32.4%**	**32.8%**	**30.5%**	**24.6%**	**30.2%**	**33.4%**	**33.6%**	**31.5%**	**25.9%**	**31.2%**	**31.9%**
OM chg. in bps	-6 bps	39 bps	93 bps	19 bps	47 bps	47 bps	61 bps	120 bps	78 bps	134 bps	103 bps	96 bps	85 bps	105 bps	131 bps	101 bps	75 bps
Interest Income	(449)	(168)	(224)	(248)	(267)	(907)	(246)	(275)	(304)	(323)	(1,148)	(214)	(152)	(161)	(198)	(725)	(717)
Interest Inc. as % of Cash Eq.	3.9%	5.8%	6.3%	6.3%	6.9%	6.6%	7.2%	8.1%	6.4%	6.4%	8.0%	6.0%	5.8%	5.6%	5.4%	5.2%	4.4%
Interest expense	906	378	380	375	419	1,552	388	424	427	427	1,666	435	454	454	454	1,798	1,817
Interest Exp. as % of Gross Debt	2.3%	3.6%	3.7%	3.7%	4.0%	3.7%	3.6%	3.9%	3.9%	3.9%	3.6%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%
Equity (income) loss	(1,506)	(357)	(540)	(565)	(388)	(1,850)	(379)	(561)	(578)	(392)	(1,909)	(382)	(582)	(606)	(411)	(1,982)	(2,081)
Other (income) loss	17	(58)	27	50	119	138	19	(3)	5	5	26	(35)	(35)	(35)	(35)	(140)	(140)
Adjusted pretax income	**13,377**	**3,693**	**4,137**	**3,924**	**2,660**	**14,414**	**3,861**	**4,452**	**3,980**	**2,935**	**15,227**	**4,064**	**4,606**	**4,173**	**3,135**	**15,978**	**17,125**
Adj. Pretax Margin	**31.1%**	**33.7%**	**34.6%**	**32.9%**	**24.3%**	**31.5%**	**34.4%**	**36.2%**	**34.3%**	**27.2%**	**33.2%**	**35.1%**	**36.1%**	**34.4%**	**27.5%**	**33.4%**	**34.2%**
Adjusted Taxes	2,545	748	760	723	506	2,737	734	846	756	558	2,894	772	875	793	596	3,036	3,767
Effective tax rate	19.0%	20.3%	18.4%	18.4%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	22.0%
Adjusted Noncontrolling Interest	29	6	(9)	(4)	13	6	8	(10)	(4)	14	7	8	(11)	(4)	14	8	8
Net Income	**10,803**	**2,939**	**3,386**	**3,205**	**2,141**	**11,671**	**3,119**	**3,616**	**3,228**	**2,363**	**12,326**	**3,283**	**3,742**	**3,385**	**2,525**	**12,935**	**13,349**
Net Margin	25.1%	26.8%	28.3%	26.9%	19.6%	25.5%	27.8%	29.4%	27.9%	21.9%	26.8%	28.4%	29.3%	27.9%	22.2%	27.0%	26.6%
CORE EPS																	
Diluted shares	4,351	4,345	4,341	4,339	4,330	4,339	4,322	4,319	4,321	4,316	4,320	4,313	4,308	4,309	4,307	4,309	4,288
Diluted EPS - CORE	**$2.48**	**$0.68**	**$0.78**	**$0.74**	**$0.49**	**$2.69**	**$0.72**	**$0.84**	**$0.75**	**$0.55**	**$2.85**	**$0.76**	**$0.87**	**$0.79**	**$0.59**	**$3.00**	**$3.11**
Dividends	$1.76	$0.46	$0.46	$0.46	$0.46	$1.84	$0.49	$0.49	$0.49	$0.49	$1.94	$0.50	$0.50	$0.50	$0.50	$2.00	$2.12
AS REPORTED																	
Diluted EPS	**$2.19**	**$0.72**	**$0.59**	**$0.71**	**$0.46**	**$2.47**	**$0.74**	**$0.56**	**$0.75**	**$0.55**	**$2.59**	**$0.76**	**$0.87**	**$0.79**	**$0.59**	**$3.00**	**$3.11**
EBITDA																	
EBIT	**12,345**	**3,488**	**3,780**	**3,536**	**2,543**	**13,347**	**3,643**	**4,037**	**3,530**	**2,652**	**13,863**	**3,868**	**4,292**	**3,825**	**2,945**	**14,930**	**16,004**
+D&A	1,260	286	281	290	271	1,128	262	269	290	270	1,091	382	421	401	376	1,579	1,879
EBITDA	**13,605**	**3,774**	**4,061**	**3,826**	**2,814**	**14,475**	**3,905**	**4,306**	**3,820**	**2,922**	**14,953**	**4,250**	**4,713**	**4,226**	**3,320**	**16,509**	**17,883**
GROWTH STATISTICS																	
Total Net Sales	**11.4%**	**4.4%**	**5.9%**	**7.8%**	**7.4%**	**6.4%**	**2.5%**	**2.9%**	**-2.7%**	**-1.4%**	**0.3%**	**3.1%**	**3.6%**	**4.7%**	**5.4%**	**4.2%**	**4.7%**
Gross profit	8.5%	6.5%	6.6%	10.2%	10.0%	8.3%	4.7%	6.4%	-0.3%	1.3%	3.1%	2.9%	3.7%	5.0%	5.7%	4.3%	5.2%
Operating profit	**11.1%**	**5.6%**	**9.1%**	**8.5%**	**9.6%**	**8.1%**	**4.4%**	**6.8%**	**-0.2%**	**4.3%**	**3.9%**	**6.2%**	**6.3%**	**8.3%**	**11.0%**	**7.7%**	**7.2%**
Pretax income	7.6%	5.9%	8.9%	7.1%	9.6%	7.8%	4.5%	7.6%	1.4%	10.3%	5.6%	5.3%	3.5%	4.9%	6.8%	4.9%	7.2%
Net income	7.1%	5.2%	10.5%	6.6%	10.5%	8.0%	6.1%	6.8%	0.7%	10.4%	5.6%	5.3%	3.5%	4.9%	6.8%	4.9%	3.2%
Comparable EPS	**6.8%**	**5.4%**	**10.8%**	**6.8%**	**11.0%**	**8.3%**	**6.7%**	**7.3%**	**1.1%**	**10.7%**	**6.1%**	**5.5%**	**3.8%**	**5.2%**	**7.1%**	**5.2%**	**3.7%**

Source : Company filings, Deutsche Bank estimates and analysis

Figure 3: KO quarterly balance sheet and cash flow statement

		2023					2024E					2025E					
Balance Sheet	**FY22**	**1Q**	**2Q**	**3Q**	**4Q**	**FY23**	**1Q**	**2Q**	**3QE**	**4QE**	**FY24E**	**1QE**	**2QE**	**3QE**	**4QE**	**FY25E**	**FY26E**
Cash & equivalents	9,519	12,004	12,564	11,883	9,366	9,366	10,443	13,708	14,904	8,995	8,995	5,218	6,220	9,369	8,614	8,614	11,006
Short term investments	2,112	2,291	3,130	3,552	4,297	4,297	6,476	5,285	5,285	5,285	5,285	5,285	5,285	5,285	5,285	5,285	5,285
Trade receivables	3,487	4,599	3,970	3,495	3,410	3,410	4,244	4,545	3,787	3,523	3,523	3,804	4,833	3,886	3,671	3,671	3,706
Inventories	4,233	4,727	4,646	4,252	4,424	4,424	4,961	4,763	4,739	4,334	4,334	4,827	4,963	4,810	4,512	4,512	4,689
Prepaid and other	3,240	3,259	3,281	4,685	5,235	5,235	3,338	3,298	3,226	3,169	3,169	3,337	3,304	3,293	3,286	3,286	3,422
Current assets	**22,591**	**26,880**	**27,591**	**27,867**	**26,732**	**26,732**	**29,462**	**31,599**	**31,942**	**25,307**	**25,307**	**22,470**	**24,606**	**26,642**	**25,368**	**25,368**	**28,108**
Equity method investments	18,264	18,744	19,262	19,256	19,671	19,671	19,495	18,940	18,940	18,940	18,940	18,940	18,940	18,940	18,940	18,940	18,940
Bottling investments	501	337	158	104	118	118	147	167	167	167	167	167	167	167	167	167	167
Other non-current assets	7,935	8,020	8,253	8,606	8,723	8,723	8,748	8,683	8,683	8,596	8,596	8,596	8,596	8,596	8,596	8,596	8,596
Net p,p&e	9,841	9,848	9,706	8,860	9,236	9,236	9,306	9,508	10,186	10,671	10,671	14,269	14,752	14,539	14,761	14,761	13,962
Trademarks	14,214	14,283	14,369	14,213	14,349	14,349	13,532	13,510	13,510	13,510	13,510	13,510	13,510	13,510	13,510	13,510	13,510
Bottlers' franchise rights	103	103	103	103	103	103	103	103	103	103	103	103	103	103	103	103	103
Goodwill	18,782	18,678	18,545	18,144	18,358	18,358	18,210	18,324	18,324	18,324	18,324	18,324	18,324	18,324	18,324	18,324	18,324
Other intangibles	532	511	469	425	413	413	389	368	368	368	368	368	368	368	368	368	368
Total assets	**92,763**	**97,404**	**98,456**	**97,578**	**97,703**	**97,703**	**99,392**	**101,202**	**102,222**	**95,986**	**95,986**	**96,747**	**99,366**	**101,189**	**100,137**	**100,137**	**102,077**
Payables and accrued exp.	15,749	15,593	16,483	16,837	15,485	15,485	19,425	21,909	21,462	21,666	21,666	19,639	21,101	21,783	22,857	22,857	23,753
Loans and notes payable	2,373	5,455	4,828	3,915	4,557	4,557	6,054	3,793	3,793	3,793	3,793	3,793	3,793	3,793	3,793	3,793	3,793
Short term debt	399	811	1,171	2,080	1,960	1,960	1,392	1,939	1,939	1,939	1,939	1,939	1,939	1,939	1,939	1,939	1,939
Accrued taxes and other	1,203	1,498	1,633	1,577	1,569	1,569	1,485	1,622	1,622	1,622	1,622	1,622	1,622	1,622	1,622	1,622	1,622
Current liabilities	**19,724**	**23,357**	**24,115**	**24,409**	**23,571**	**23,571**	**28,356**	**29,263**	**28,816**	**29,020**	**29,020**	**26,993**	**28,455**	**29,137**	**30,211**	**30,211**	**31,107**
Long-term debt	36,377	36,134	35,626	34,176	35,547	35,547	35,104	38,085	38,085	40,085	40,085	42,085	42,085	42,085	42,085	42,085	42,085
Other non-current liabilities	7,922	7,874	8,449	8,427	8,466	8,466	5,465	4,077	4,077	4,077	4,077	4,077	4,077	4,077	4,077	4,077	4,077
Deferred taxes	2,914	3,171	2,714	2,733	2,639	2,639	2,521	2,366	2,526	2,431	2,431	2,425	2,262	2,430	2,330	2,330	2,458
Total liabilities	**66,937**	**70,536**	**70,904**	**69,745**	**70,223**	**70,223**	**71,446**	**73,791**	**73,504**	**75,613**	**75,613**	**75,580**	**76,879**	**77,729**	**78,703**	**78,703**	**79,727**
Shareholders' equity	25,826	26,868	27,552	27,833	27,480	27,480	27,946	27,411	28,718	20,373	20,373	21,167	22,487	23,460	21,434	21,434	22,351
Total L and SE	**92,763**	**97,404**	**98,456**	**97,578**	**97,703**	**97,703**	**99,392**	**101,202**	**102,222**	**95,986**	**95,986**	**96,747**	**99,366**	**101,189**	**100,137**	**100,137**	**102,077**
Balance Sheet & Cash Flo																	
Days Receivable	**29.6**	**38.6**	**32.8**	**28.3**	**27.2**	**27.2**	**33.6**	**35.8**	**30.0**	**28.0**	**28.0**	**30.0**	**37.8**	**30.0**	**28.0**	**28.0**	**27.0**
Inventory days	**86.7**	**96.6**	**93.7**	**84.9**	**87.4**	**87.4**	**98.3**	**94.9**	**96.1**	**89.0**	**89.0**	**98.3**	**100.2**	**96.1**	**89.0**	**89.0**	**89.0**
Days Payable	**322.6**	**318.6**	**332.6**	**336.0**	**306.1**	**306.1**	**384.9**	**436.7**	**435.0**	**445.0**	**445.0**	**400.0**	**425.8**	**435.0**	**451.0**	**451.0**	**451.0**
Cap Ex / Sales	3.4%	2.5%	2.8%	3.2%	7.8%	4.0%	3.3%	3.4%	5.5%	7.0%	4.8%	5.3%	5.3%	5.3%	5.3%	5.3%	4.5%
D&A / Sales	2.9%	2.6%	2.3%	2.4%	2.5%	2.5%	2.3%	2.2%	2.5%	2.5%	2.4%	3.3%	3.3%	3.3%	3.3%	3.3%	3.8%
Gross Debt/EBITDA	2.9x	3.1x	3.0x	2.8x	2.9x	2.9x	2.9x	3.0x	3.0x	3.1x	3.1x	3.1x	3.0x	3.0x	2.9x	2.9x	2.7x
Net Debt/EBITDA	2.0x	2.0x	1.8x	1.7x	2.0x	2.0x	1.8x	1.7x	1.6x	2.1x	2.1x	2.4x	2.3x	2.1x	2.1x	2.1x	1.8x
Summary cash flow statement																	
Net Income	**9,571**	**3,113**	**2,521**	**3,083**	**1,997**	**10,714**	**3,185**	**2,401**	**3,224**	**2,377**	**11,187**	**3,292**	**3,731**	**3,380**	**2,539**	**12,943**	**13,357**
+: D&A	1,260	286	281	290	271	1,128	262	269	290	270	1,091	382	421	401	376	1,579	1,879
+ / -: Chg. working capital	(605)	(2,877)	1,121	887	23	(846)	(2,845)	(139)	407	929	(1,647)	(2,968)	329	1,794	1,593	748	548
+ / - Other Operating C.F.	792	(362)	546	40	379	603	(74)	1,054	160	(8)	1,132	(6)	(164)	169	(100)	(101)	128
Operating Cash Flow	**11,018**	**160**	**4,469**	**4,300**	**2,670**	**11,599**	**528**	**3,585**	**3,750**	**3,568**	**11,431**	**(2,671)**	**4,083**	**6,193**	**4,407**	**12,013**	**17,087**
-: Cap Ex	1,484	276	339	386	851	1,852	370	422	637	756	2,185	608	670	637	597	2,513	2,254
Free Cash Flow	**9,534**	**(116)**	**4,130**	**3,914**	**1,819**	**9,747**	**158**	**3,163**	**3,113**	**2,813**	**9,247**	**(3,279)**	**3,413**	**5,556**	**3,810**	**9,500**	**14,832**
-: Dividends	7,616	101	1,988	1,989	3,874	7,952	99	2,085	2,095	4,189	8,468	0	2,155	2,152	4,304	8,611	9,082
Free Cash Flow after divid	**1,918**	**(217)**	**2,142**	**1,925**	**(2,055)**	**1,795**	**59**	**1,078**	**1,018**	**(1,377)**	**778**	**(3,279)**	**1,259**	**3,404**	**(494)**	**889**	**5,751**
Financing (debt)	(958)	2,900	(628)	(1,053)	638	1,857	919	1,179	0	2,000	4,098	2,000	0	0	0	2,000	0
Share repurchase	(581)	(619)	(106)	(44)	(981)	(1,750)	(412)	(25)	(375)	(383)	(1,195)	(251)	(256)	(256)	(261)	(1,023)	(3,359)
Acq/divestitures	460	320	(5)	13	114	442	2,899	4	0	0	2,903	0	0	0	0	0	0
Other investing activities	1,726	94	(560)	(1,284)	(115)	(1,865)	(2,199)	1,085	0	0	(1,114)	0	0	0	0	0	0
FX / Other	(2,830)	7	(283)	(238)	(118)	(632)	(189)	(56)	554	(6,150)	(5,841)	(2,248)	0	0	0	(2,248)	0
Change in Cash	**(265)**	**2,485**	**560**	**(681)**	**(2,517)**	**(153)**	**1,077**	**3,265**	**1,196**	**(5,909)**	**(371)**	**(3,778)**	**1,003**	**3,148**	**(755)**	**(381)**	**2,392**
Cash - End of Period	**9,419**	**12,004**	**12,564**	**11,883**	**9,366**	**9,266**	**10,443**	**13,708**	**14,904**	**8,995**	**8,895**	**5,218**	**6,220**	**9,369**	**8,614**	**8,514**	**10,906**

Source : Company filings, Deutsche Bank estimates and analysis

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
The Coca-Cola Company	KO.N	70.17 (USD) 04 Oct 2024	1, 2, 7, 14, 15, 24, 26

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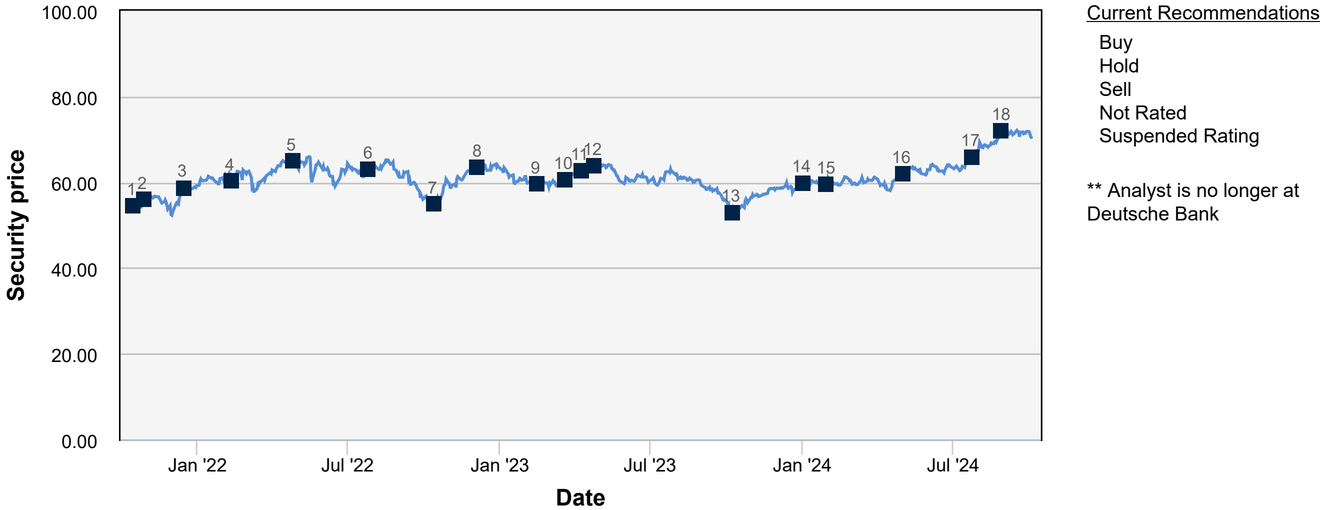
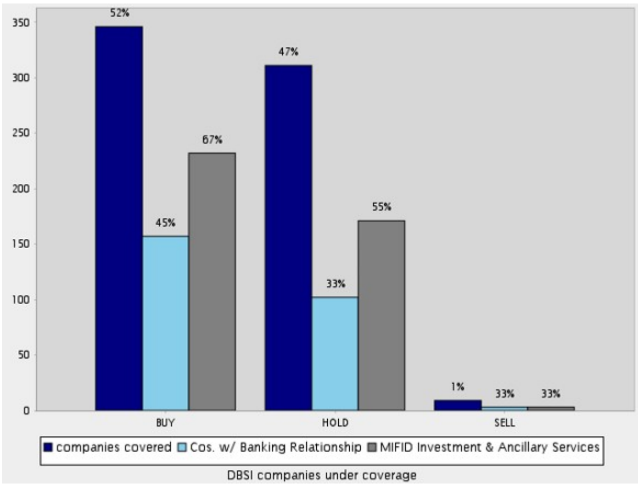
Historical recommendations and target price: The Coca-Cola Company (KO.N)

(as of 10/04/2024)



1. 10/15/2021 Hold, Target Price Change USD 59.00, Current Price USD 54.48 Stephen Powers
2. 10/28/2021 Hold, Target Price Change USD 60.00, Current Price USD 56.04 Stephen Powers
3. 12/16/2021 Hold, Target Price Change USD 61.00, Current Price USD 58.65 Stephen Powers
4. 02/11/2022 Hold, Target Price Change USD 62.00, Current Price USD 60.29 Stephen Powers
5. 04/26/2022 Hold, Target Price Change USD 64.00, Current Price USD 65.05 Stephen Powers
6. 07/27/2022 Hold, Target Price Change USD 65.00, Current Price USD 63.01 Stephen Powers
7. 10/14/2022 Hold, Target Price Change USD 59.00, Current Price USD 54.98 Stephen Powers
8. 12/06/2022 Hold, Target Price Change USD 62.00, Current Price USD 63.44 Stephen Powers
9. 02/15/2023 Hold, Target Price Change USD 63.00, Current Price USD 59.59 Stephen Powers
10. 03/20/2023 Hold, Target Price Change USD 60.00, Current Price USD 60.60 Stephen Powers
11. 04/10/2023 Hold, Target Price Change USD 61.00, Current Price USD 62.69 Stephen Powers
12. 04/25/2023 Hold, Target Price Change USD 63.00, Current Price USD 63.85 Stephen Powers
13. 10/09/2023 Hold, Target Price Change USD 60.00, Current Price USD 52.88 Stephen Powers
14. 01/02/2024 Hold, Target Price Change USD 62.00, Current Price USD 59.82 Stephen Powers
15. 01/31/2024 Hold, Target Price Change USD 63.00, Current Price USD 59.49 Stephen Powers
16. 05/01/2024 Hold, Target Price Change USD 64.00, Current Price USD 61.93 Stephen Powers
17. 07/24/2024 Hold, Target Price Change USD 65.00, Current Price USD 65.81 Stephen Powers
18. 08/29/2024 Hold, Target Price Change USD 69.00, Current Price USD 72.05 Stephen Powers

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

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David Folkerts-Landau
Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of
Sustainability, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG
Deutsche Bank Place
Level 16
Corner of Hunter & Phillip Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG
Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG
Filiale Hongkong
International Commerce Centre,
1 Austin Road West,Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.
1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG
21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.
The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500